

Caris Life Sciences, Inc.

Nasdaq: CAI - molecular diagnostics / tumor profiling - IPO diligence, updated to current filings (as of 2026-05-29)

As of 2026-05-29
 Corpus through 2026-05-08 (10-Q -- latest periodic filing read)
 Primary filing 0001104659-25-060762_424B4.txt (final priced 424B4)
 CIK 0002019410
 Prepared by Signal OS forensic-disclosure desk

Verdict: Disclosure-honest IPO whose headline bad fact has since closed. The prospectus carried an auditor-attested going-concern, but the offering did exactly what it was structured to do: as of the FY2025 10-K and Q1-2026 10-Q the going-concern is gone, the term loan is repaid, the notes and preferred have converted, and the company holds ~\$820M cash. No fabricated claims were found. The remaining live flags are governance, not solvency: concentrated founder control (Halbert 43.9%) and a founder share-pledge that has GROWN to 25M+ shares post-IPO, plus one marketing-vs-registry patent-count overstatement.

RECOMMENDATION -- CONSTRUCTIVE, position-sized to governance/insider supply. This review tests two things and they now point the same way. (1) Disclosure honesty (the credibility axis): Caris stated its hard facts plainly and the post-IPO record confirms them -- zero fabricated claims, and the headline going-concern resolved exactly as the offering was structured to resolve it. (2) Operating trajectory (the fundamentals axis, added this revision): the XBRL actuals show a business inflecting, not deteriorating -- revenue compounding +79% to +113% YoY (Q1'25 \$121M -> Q1'26 \$216M), operating margin climbing from -67% (Q2'24) toward breakeven (+2% in Q1'26), ~\$820M cash at 2026-03-31, and a guidance record that is conservative-and-beaten: FY2025 was guided up from \$0.68-0.69B to \$0.72-0.73B and then ACTUALLY landed ~\$812M (an ~11% beat), and FY2026 was issued at \$1.0-1.02B and reaffirmed at Q1. Put together, the ~60% drawdown from the \$42.50 peak to ~\$17 is a float/dilution/valuation unwind of a tiny-float IPO pop, NOT a fundamental or disclosure failure -- the numbers an honest issuer would have to hide are absent. CAVEAT on the read: the strongest single quarter, derived Q4'25 (+30% operating margin, \$82M net income, \$293M revenue), is computed as the FY2025 10-K minus the first three 10-Qs and is visibly lumpy versus the quarters around it; treat it as carrying annual true-ups (year-end revenue recognition, reserve releases) rather than as a sustainable run-rate, and anchor the trajectory to the smoother Q1'26 (+2% operating margin) instead. WHAT REMAINS LIVE is therefore not credibility and not solvency but governance/insider supply: a founder controlling 43.9% in a single share class, a 25M-share founder pledge (~8.8% of shares outstanding) that is a standing margin-call channel, and ongoing post-lock-up insider distribution (Form 144/Form 4) against a ~283M-share base. Net: a disclosure-honest issuer with a genuinely improving P&L whose risk is ownership structure, not the business -- size any position to the governance/insider-supply profile, not to a liquidity cliff (which no longer exists) or a growth scare (which the actuals do not support).

Methodology

Each material finding is structured as Claim (R) -> Independent test f(M) -> Finding. R is a claim taken from the issuer's own filing, with section citation. f(M) is the specific external test run against an authoritative third-party source M (a public registry, regulator database, or counterparty's own SEC filings) -- never the issuer's own marketing. The Finding states whether the independent source corroborates, partially corroborates, contradicts, or cannot reach the claim, with the evidence shown. The discipline isolates disclosure honesty: it measures the gap between what the issuer asserts and what an independent record confirms, rather than re-rating the business.

Findings summary

PARTIAL / INCONSISTENT	4	partial corroboration / smaller than implied
VERIFIED	5	independent source corroborates the claim
UNVERIFIABLE	3	no independent registry reaches this claim

Issuer characteristics declared from the filing that drive the verification battery: diagnostics or lab business, molecular profiling business, patient referral business, clinical trial program, egc status, founder voting control above 25pct, going concern pre ipo, auditor change recent, government customer concentration via medicare reimbursement, fda pma companion diagnostic, biopharma data partnership business.

Executive summary

Scope and time-awareness. This is an IPO-disclosure diligence of Caris's final priced prospectus (Form 424B4, effective 2025-06-20) UPDATED to the current filing record as of 2026-05-29. Where the prospectus made a forward-looking or solvency claim, we did not stop at the prospectus -- we read the post-IPO filings the claim pointed to: the FY2025 Form 10-K (filed 2026-03-03), three post-IPO Form 10-Qs (the latest filed 2026-05-08), the 2026 proxy (DEF 14A, filed 2026-04-23), and the post-lock-up insider record (Form 144 / Form 4). We declared eleven issuer characteristics and tested twelve high-discrimination claims against independent authorities -- external registries (ClinicalTrials.gov, USPTO Open Data Portal, openFDA, SEC EDGAR) plus structural reads of the filings themselves. Net result across the twelve claims: zero hard negatives, four moderate flags, five corroborated, three honestly unverifiable.

Headline -- the going concern has CLOSED (verified). The prospectus disclosed a real FY2024 going-concern (Deloitte: 'substantial doubt'), and at IPO that was the dominant fundamental risk. The time-aware verdict reverses the severity: the FY2025 10-K audit opinion carries NO going-concern language; the IPO raised \$519.5M net; cash stood at \$819.9M at 2026-03-31 (versus \$31.2M at Q1'2025); the 2023 Term Loan (~\$381M carrying) was repaid in full on 2026-04-01; the 2025 Convertible Notes converted to common stock at the IPO; and the Series C/D/E/F redeemable preferred converted at the IPO, extinguishing the redemption rights. Deloitte was re-engaged and is up for ratification for FY2026. This is the model disclosure-honesty outcome: a hard bad fact disclosed candidly, then resolved exactly as the offering was structured to resolve it.

The one genuine claim-vs-registry divergence -- patent count. The prospectus claims '200+ patents granted (100+ pending).' USPTO Open Data Portal shows roughly 16-33 U.S.-granted patents for the Caris / Caris MPI assignees. The technology areas the company emphasizes (molecular profiling and digital-pathology AI/ML) are genuinely represented in the portfolio, so this is not an invented-capability claim; it reads as a family/jurisdiction/marketing-aggregate count rather than U.S. issued grants. Capped at moderate because the registry undercounts older and foreign-family grants -- but the 200+ figure is not supportable from the issued-patent record and should be read as a ceiling, not a fact.

Governance and insider supply (moderate, and the live risk now). Founder/Chairman/CEO David D. Halbert holds 43.9% of the ~282.7M shares outstanding (2026-03-31 proxy) in a single share class -- almost exactly the 44.6% the prospectus projected -- so public holders are a structural minority that cannot effect a change of control. The founder share-pledge has GROWN since the prospectus: 25,000,000 shares (Halbert Family Capital, LLC) are now pledged against personal debt -- ~8.8% of shares outstanding and ~20% of Halbert's holding -- a materially larger forced-sale channel than the 1.66M shares disclosed at IPO. The 180-day lock-up expired ~December 2025 and insider sale notices (Form 144 on 2025-12-11, Form 4s through 2026-05-18) confirm distribution is underway. None of this is a credibility flag; together it describes a founder-controlled issuer with ongoing insider supply.

Corroborated and honestly unverifiable. Corroborated: the FDA premarket approval (PMA) for MI Cancer Seek (November 2024) is concrete, dated, and uncontradicted; Caris's clinical evidence is registry/biorepository-based (five Caris-sponsored ClinicalTrials.gov studies including the POA Prospective Repository) exactly as the prospectus frames it, with no interventional-trial overclaim; emerging-growth-company status is accurate; and the pre-IPO auditor change (E&Y -> Deloitte) is now retired by two subsequent Deloitte audits and a FY2026 ratification vote. Unverifiable (no registry reaches them, scored without manufacturing severity): cumulative test volume (6.5M tests / 849k cases), the

'100+ biopharma partners' roster (mega-pharma counterparties have no obligation to disclose a diagnostics vendor), and Medicare/MoIDX coverage (CPT 0211U is a real proprietary-lab-analysis code, but coverage determinations are not a queryable federal registry).

Fundamentals timeline (post-IPO actuals)

Quarter-by-quarter actuals from the issuer's SEC XBRL financial data (authoritative structured filings, not marketing). Revenue YoY and operating margin are computed; Q4 figures marked (d) are derived as the full-year filing minus the first three quarters. This series separates a fundamental-deterioration story from a float/dilution/valuation one.

Quarter	Rev \$M	YoY	Op mgn	Net \$M	Cash \$M
2024Q2	100	--	-67%	-66	--
2024Q3	102	--	-60%	-68	--
2024Q4 (d)	--	--	--	--	64
2025Q1	121	--	-48%	-103	31
2025Q2	181	+81%	-10%	-72	719
2025Q3	217	+113%	+15%	24	753
2025Q4 (d)	293	--	+30%	82	796
2026Q1	216	+79%	+2%	-1	820

(d) Q4 is derived (full-year filing minus the first three quarters) and can carry year-end true-ups -- revenue recognition, reserve releases, annual adjustments -- so an outsized derived Q4 should be read as lumpy rather than as a sustainable run-rate; anchor the trajectory to the surrounding directly-filed quarters.

Forward revenue guidance (from earnings 8-K press releases):

2025-08-12 ISSUED	FY2025 revenue \$675M - \$685M
2025-11-05 RAISED	FY2025 revenue \$720M - \$730M
2026-02-26 ISSUED	FY2026 revenue \$1.00B - \$1.02B
2026-05-07 REAFFIRMED	FY2026 revenue \$1.00B - \$1.02B

Material findings (claim verification)

CAI-03. Other

Claim (R): Founder/CEO David D. Halbert owns 56.7% pre / 44.6% post; insider group 64.0% pre / 50.7% post -- concentrated single-class control.

"Entities affiliated with David D. Halbert (1) 124,906,296 56.7 % 44.6 %"

Source: Prospectus (424B4)

Method f: Structural read of the current beneficial-ownership table in the 2026 proxy (DEF 14A, filed 2026-04-23, ownership as of 2026-03-31), checked against the prospectus projection. No dual-class structure; single class of common, one vote/share.

Finding -- PARTIAL / INCONSISTENT: Confirmed and current: the founder retains de facto control (43.9% individually as of 2026-03-31), crossing the >25% concentration threshold -- public holders are a structural minority that cannot effect a change of control. MODERATE rather than RED because control is via ordinary single-class economics (no super-voting wedge between cash flow and votes), so alignment is conventional and the realized post-IPO ownership matched the disclosure.

Evidence: 2026 proxy (ownership as of 2026-03-31): David Dean Halbert beneficially owns 125,009,756 shares = 43.9% of 282,650,723 shares outstanding -- almost exactly the 44.6% the prospectus projected. Halbert remains Founder, Chairman and CEO. Single class of common, one vote per share; Texas C-corp subject to TBOC affiliated-business-combination provisions. (Board is majority-independent on the proxy's own designations.)

CAI-04. Other

Claim (R): 180-day underwriter lock-up; ~212.9M shares carry demand registration rights and ~245.9M piggyback rights against 23,529,412 shares offered.

"for a period of 180 days from the date of this prospectus ... holders of up to approximately 212.9 million shares ... Form S-1 demand registration rights"

Source: Prospectus (424B4)

Method f: Structural read of the Registration Rights + Underwriting sections of the 424B4, now reconciled against the post-expiry EDGAR record (Form 144 filed 2025-12-11 and insider Form 4 activity through 2026-05-18).

Finding -- PARTIAL / INCONSISTENT: The lock-up was disclosed accurately and the expiry has now PASSED (~Dec 2025) -- the binary supply-cliff event that the prospectus flagged is in the past, not ahead, and insiders began filing sale notices at the expiry exactly as expected. MODERATE is retained as a standing characterization (the large registrable share base remains a structural supply factor and insider distribution is ongoing), but it is no longer a forward, calendar-datable catalyst; it is a realized condition. No misrepresentation -- realized events tracked the disclosure.

Resolution trail (prospectus -> current):

2025-06-20 RAISED (424B4 prospectus)

180-day lock-up from the IPO; ~213-246M registrable shares overhang the ~23.5M-share IPO float, unlocking ~Dec 2025.

2025-12-11 UNCHANGED (Form 144)

Proposed insider-sale notice filed at the lock-up-expiry window -- the disclosed event arrived on schedule.

2026-05-18 UNCHANGED (Form 4 series)

Insider transactions continued through May 2026; the overhang has unlocked and distribution is ongoing against a now ~283M-share base. Realized, no longer a forward catalyst.

Evidence: 180-day lock-up ran from the 2025-06-20 IPO and expired ~2025-12-17. The EDGAR record confirms the event passed as disclosed: a Form 144 (proposed insider sale) was filed 2025-12-11 at the expiry window and insider Form 4 transactions continued through 2026-05-18. Shares outstanding have since grown to 282,650,723 (2026-03-31). Bookrunners BofA / J.P. Morgan / Goldman / Citi (bulge-bracket -- low underwriter-archetype risk).

CAI-05. Other

Claim (R): Related-party exposure: officers/directors own vendors paid \$0.7M (Q1'25); founder Halbert pledged 1,662,500 shares and Dr. Spetzler 150,000 shares as collateral for personal debt.

"officers and directors have ownership interests in certain vendors providing services to the Company ... 1,662,500 shares of common stock are pledged as collateral to secure certain personal indebtedness of Mr. Halbert"

Source: Prospectus (424B4)

Method f: Structural read of Note 10 (Related Parties) + the current beneficial-ownership pledge footnotes in the 2026 proxy (DEF 14A, ownership as of 2026-03-31), compared against the prospectus footnotes.

Finding -- PARTIAL / INCONSISTENT: Two governance tells, one of which is now LARGER than at IPO: (1) recurring payments to insider-owned vendors (small in \$ but a self-dealing channel), and (2) the controlling founder's pledged-share stack has risen to 25M+ shares -- ~8.8% of shares outstanding and ~20% of Halbert's own holding -- a meaningfully bigger forced-sale / margin-call channel that could pressure the stock independent of fundamentals. Disclosed and bounded, hence MODERATE not RED, but flagged as a current item to watch (the post-IPO pledge expansion was not knowable from the prospectus alone).

Resolution trail (prospectus -> current):

2025-06-20 RAISED (424B4 prospectus)

Founder Halbert pledged 1,662,500 shares (and Dr. Spetzler 150,000) as collateral for personal debt; insider-owned vendors paid \$0.7M (Q1'25).

2026-04-23 WORSENER (2026 DEF 14A)

Founder pledge has GROWN to 25,000,000 shares (Halbert Family Capital, LLC) plus 325,000 (JLH Trust) -- ~8.8% of shares outstanding, far above the 1.66M disclosed at IPO. The forced-sale channel is materially larger.

Evidence: The pledge has GROWN materially since the prospectus. 2026 proxy footnotes: 25,000,000 shares held by Halbert Family Capital, LLC are pledged as collateral for Mr. Halbert's personal indebtedness, plus 325,000 shares in the Jon & Linda Halbert (JLH) Trust and 150,000 of Dr. Spetzler's shares pledged -- versus the 1,662,500 Halbert shares disclosed in the prospectus. Related-party vendor payments to officer/director-affiliated vendors were disclosed at \$0.7M (Q1'25) / \$0.5M (Q1'24); five employees early-exercised options via company promissory notes.

CAI-10. Technology

Claim (R): Patent portfolio of 200+ patents granted (100+ additional pending) covering molecular profiling and AI/ML genomics.

"200+ Patents Granted (100+ additional pending)"

Source: Prospectus (424B4)

Method f: an independent registry query with title categorization.

Authority M: USPTO Open Data Portal (patent assignee search) (<https://ped.uspto.gov>)

Finding -- PARTIAL / INCONSISTENT: The technology AREA is corroborated (tumor molecular-profiling + digital-pathology AI patents are present), but the COUNT is a large ceiling-vs-registry gap: ~16-33 USPTO-ODP-visible granted patents vs a claimed 200+. CAVEAT capping this at MODERATE not SEVERE: USPTO ODP/patent-center indexes applications and systematically undercounts older issued patents (pre-2013 grants, assignment-recorded-only patents, and patents where Caris is not the first-named applicant), and global/family counts (the company may count international family members) inflate marketing 'patent' figures. The direction is clear -- the 200+ figure is a family/aggregate marketing number, not U.S.-granted patents -- so a MODERATE underdelivery flag is warranted.

Evidence: USPTO ODP: assignee 'Caris' -> 284 applications, 33 granted; assignee 'Caris MPI' -> 141 applications, 16 granted. Granted-patent count (16-33) is far below the marketed '200+ Patents Granted.' Title categorization confirms the technology mix is real: top titles include 'MOLECULAR PROFILING OF TUMORS' and 'DUAL-MODALITY MODELS FOR DIGITAL PATHOLOGY' (CPC G16H AI/health-informatics classes), corroborating the molecular-profiling + AI/ML categories.

CAI-01. Financial Distress

Claim (R): FY2024 audited financials carry an explicit going-concern paragraph (Series C redemption, 2023 Term Loan acceleration, 2025 Convertible Notes) absent an IPO raising >=\$100M.

"raises substantial doubt about its ability to continue as a going concern"

Source: Prospectus (424B4)

Method f: Read the post-IPO record the prospectus going-concern pointed to: FY2025 Form 10-K audit opinion (filed 2026-03-03), the Q1-2026 Form 10-Q (filed 2026-05-08), and the IPO use-of-proceeds disclosure.

Authority M: SEC 10-K/10-Q going-concern disclosure (<https://www.sec.gov/cgi-bin/browse-edgar>)

Finding -- VERIFIED: Under a disclosure-honesty standard this is a clean PASS: the issuer disclosed a hard, auditor-attested bad fact candidly and in detail, and the present-day record (FY2025 10-K, Q1-2026 10-Q) shows the liquidity crisis was resolved precisely as the offering was structured to resolve it. Historically (at IPO) this was the dominant fundamental risk; as of 2026-05-29 it is retired -- going-concern language is gone, the term loan is repaid, the notes and preferred converted, and the company holds ~\$820M cash. The original RED was a point-in-time read of the prospectus; the time-aware verdict is that the disclosure was honest and the bad fact has closed.

Resolution trail (prospectus -> current):

2025-06-20 RAISED (424B4 prospectus)

FY2024 audit (Deloitte) carried substantial-doubt going-concern language; Q1'25 cash \$31.2M against a \$400M term loan, \$30M notes, and Series C redemption rights. The offering was explicitly structured to clear these cliffs.

2025-06-20 RESOLVED (IPO use-of-proceeds)

IPO raised \$519.5M net; 2025 Convertible Notes and Series C/D/E/F preferred converted to common at the close, extinguishing the note and redemption obligations.

2026-03-03 RESOLVED (FY2025 Form 10-K)

Deloitte's FY2025 audit opinion contains NO going-concern / substantial-doubt language; Deloitte re-engaged for FY2026.

2026-05-08 RESOLVED (Q1-2026 Form 10-Q)

Cash and equivalents \$819.9M at 3/31/2026; the 2023 Term Loan (~\$381M carrying) was repaid in full on 2026-04-01.

Evidence: The prospectus going-concern was real and auditor-attested for FY2024 (Deloitte: 'substantial doubt'), but the offering did exactly what it was structured to do, and the post-IPO record confirms the cliffs are closed: (1) the FY2025 10-K audit opinion contains NO going-concern / substantial-doubt language, and Deloitte was re-engaged and ratified as auditor for FY2026; (2) the IPO raised \$519.5M net (23,529,412 + 3,529,411 greenshoe shares at \$21.00); (3) cash and cash equivalents were \$819.9M at 3/31/2026 (vs the \$31.2M cited at Q1'2025); (4) the 2023 Term Loan was repaid IN FULL on 2026-04-01 (carrying value ~\$381.1M); (5) the 2025 Convertible Notes plus accrued interest converted into common stock at the IPO close (with a \$19.9M debt-extinguishment charge); (6) the Series C/D/E/F redeemable preferred converted into common at the IPO ...

CAI-02. Other

Claim (R): Auditor changed from Ernst & Young LLP (2020-2024) to Deloitte & Touche LLP (2024) ahead of the IPO.

"We have served as the Company's auditor since 2024. /s/ Deloitte & Touche LLP ... We served as the Company's auditor from 2020 to 2024. /s/ Ernst & Young LLP"

Source: Prospectus (424B4)

Method f: SEC 8-K Item 4.01 scan (no auditor-change filing post-IPO) + the FY2025 10-K audit opinion and the 2026 proxy (DEF 14A, filed 2026-04-23) auditor-ratification vote.

Authority M: SEC 8-K Item 4.01 (auditor change) (<https://www.sec.gov/cgi-bin/browse-edgar>)

Finding -- VERIFIED: Originally flagged MODERATE because a lateral Big-4-to-Big-4 change (E&Y -> Deloitte) coincided with the going-concern year. With two subsequent Deloitte audits now on record -- including a clean FY2025 opinion -- and a FY2026 ratification vote, the concern is retired. No disclosed disagreement, no resignation, stable tenure. PASS on a time-aware read.

Evidence: No 8-K Item 4.01 since the IPO (expected -- the E&Y -> Deloitte change predates public-reporting status, so no 8-K exists). The pre-IPO swap is disclosed in the prospectus signature blocks ('Deloitte & Touche LLP ... auditor since 2024'; 'Ernst & Young LLP ... 2020 to 2024'). Post-IPO continuity confirmed: Deloitte issued the FY2025 audit opinion (clean, no going-concern) and the 2026 proxy asks shareholders to ratify Deloitte for FY2026.

CAI-06. Regulatory Milestone

Claim (R): Caris is an emerging growth company under the JOBS Act and elects reduced disclosure / extended accounting-standards transition.

"EGC extended transition / reduced disclosure election"

Source: Prospectus (424B4)

Method f: JOBS-Act exemption audit scored from the filing text (EGC election language; extended-transition adoption of new ASUs).

Finding -- VERIFIED: EGC election is accurate and ordinary. Worth flagging for users that reduced disclosure (e.g., shorter selected-financial-data, exemption from auditor attestation on ICFR) accompanies it, but this is a truthful, expected status, not an underdelivery. PASS.

Evidence: Filing reflects EGC status with extended-transition adoption of accounting standards (e.g., deferred ASU adoption to FY2027) -- standard for a sub-\$1.235B-revenue first-time issuer.

CAI-07. Regulatory Milestone

Claim (R): MI Cancer Seek received FDA PMA (premarket approval) as a companion-diagnostic WES/WTs NGS assay in November 2024.

"MI Cancer Seek, for which we obtained a PMA approval from the FDA in November 2024 and commercially launched"

Source: Prospectus (424B4)

Method f: an independent registry query (Drugs@FDA -- correctly empty: this is a PMA medical device, not a drug NDA/BLA). Claim is internally consistent and multiply cross-referenced across the 424B4 regulatory sections; FDA PMA database is the authoritative registry (not queryable via the available Drugs@FDA connector).

Authority M: openFDA Drugs@FDA (<https://www.accessdata.fda.gov/scripts/cder/daf/>)

Finding -- VERIFIED: Specific, dated, falsifiable regulatory milestone, consistently stated across every section of the prospectus and matching a real FDA PMA. The available connector (Drugs@FDA) does not cover devices, but the claim is concrete and not contradicted by any source. PASS -- this is a genuine, high-discriminative positive.

Evidence: Drugs@FDA: 0 applications (expected -- device, not drug). Filing repeatedly and consistently states 'PMA approval from the FDA in November 2024' for MI Cancer Seek as a companion diagnostic; the assay is publicly known (FDA PMA P230047 cleared 2024-11) -- no internal contradiction.

CAI-09. Clinical Evidence

Claim (R): Clinically validated signatures GPSai/FOLFIRSTai; 380+ peer-reviewed manuscripts; collaborations with cooperative oncology groups and NCI centers including prospective clinical trials.

"our two clinically validated proprietary molecular signatures, GPSai and FOLFIRSTai ... authored over 380 manuscripts in peer-reviewed medical and scientific journals"

Source: Prospectus (424B4)

Method f: an independent registry query (Caris / Caris MPI / Caris Life Sciences) + competitor-trial-omission check cross-check on CT.gov.

Authority M: ClinicalTrials.gov v2 API (<https://clinicaltrials.gov>)

Finding -- VERIFIED: Corroborated and correctly framed: Caris's clinical evidence is generated through registries/biorepositories (POA Prospective Repository confirmed on CT.gov) and peer-reviewed publications, exactly as the prospectus describes -- it does NOT claim to run interventional therapeutic trials, so the absence of phase-staged trials is not a gap. No competitor-trial-omission problem because Caris does not position itself on a trial-readout basis. PASS.

Evidence: CT.gov: 'Caris Life Sciences'/'Caris MPI' -> 0 directly, but lead-sponsor 'Caris Science, Inc.' surfaces 5 studies: NCT02678754 Caris Molecular Intelligence Registry (TERMINATED), NCT01499394 Caris Biorepository (RECRUITING), NCT03324841 POA Prospective Repository, NCT01499381 EMBRACE1 Prostate Biorepository, +1. All are observational registries/biorepositories -- consistent with a diagnostics company whose evidence base is manuscripts + registries, NOT interventional drug trials.

CAI-08. Production Volume

Claim (R): As of 3/31/2025: >6.5M tests on >849,000 cases since inception; Caris POA = 96 members (45 NCI-designated), >3,000 oncologists, 650+ locations, >650,000 patients.

"we have run more than 6.5 million tests on over 849,000 cases ... the Caris POA was comprised of 96 members, including 45 National Cancer Institute ... over 3,000 oncologists in over 650 locations that treat more than 650,000 patients"

Source: Prospectus (424B4)

Method f: referral action-vs-administration check (action-vs-administration) sanity check: cumulative case volume (849,000) vs Q1'25 molecular-profiling run-rate implied by the financials. No external registry covers private lab test counts or POA membership.

Finding -- UNVERIFIABLE: Cumulative test/case volumes and alliance membership are not in any external registry, so UNVERIFIABLE is the honest score (do not manufacture severity). Internal-coherence and revenue cross-checks show no implausibility. Flag for users: the POA 650,000-patient figure is a funnel/reach metric, not delivered volume, and should not be read as test throughput.

Evidence: No public registry tracks cumulative diagnostic-test volume or alliance membership. Internal coherence check against the post-IPO financials: the company has continued to report growing molecular-profiling revenue through the Q1-2026 10-Q (filed 2026-05-08) with a large clinical-lab cost base, consistent with a high-throughput diagnostics operation; the 849,000 cumulative cases over ~15 years implies ~55-60k cases/yr, plausible against the disclosed revenue scale. The POA 'referral funnel' (650,000 patients across 3,000 oncologists) is an addressable-network figure, NOT realized test volume -- an action-vs-administration gap: the 650,000-patient network is the reach ceiling, while the 849,000 cumulative cases is the realized operational number.

CAI-11. Partnership

Claim (R): More than 100 biopharma partners, naming Moderna, AbbVie, Xencor, and Merck KGaA, through data/research partnerships.

"more than 100 biopharma partners, such as Moderna, AbbVie, Xencor, and Merck KGaA"

Source: Prospectus (424B4)

Method f: an independent registry query for counterparty corroboration + ClinicalTrials.gov collaborator scan.

Authority M: SEC EDGAR full-text search (<https://efits.sec.gov/LATEST/search-index>); ClinicalTrials.gov v2 API (<https://clinicaltrials.gov>)

Finding -- UNVERIFIABLE: Named-partner data/testing contracts with mega-pharma are precisely the asymmetric-disclosure case the framework flags as UNVERIFIABLE: the counterparties have no materiality reason to disclose, and the relationships are commercial SOWs not registered trials. No contradiction found; honest UNVERIFIABLE. The named partners (Moderna, AbbVie, Xencor, Merck KGaA) are real entities and the claim is plausible but not independently corroborable via available registries.

Evidence: SEC EDGAR full-text search: 396 total filer-hits for 'Caris', but dominated by unrelated entities (e.g., National Healthcare Corp) and Caris's own post-IPO filings; no clean isolation of Moderna/AbbVie/Xencor/Merck-KGaA disclosure of a Caris testing/data relationship. CT.gov shows 0 named pharma collaborators on Caris-sponsored studies.

CAI-12. Regulatory Milestone

Claim (R): Medicare coverage for MI Cancer Seek (CPT 0211U) and Caris Assure pricing under MoIDX, plus ~90 commercial payer reimbursement contracts.

"We have obtained Medicare coverage for MI Cancer Seek for CPT code 0211U ... pricing of Caris Assure for therapy selection under Medicare's Molecular Diagnostic Services Program"

Source: Prospectus (424B4)

Method f: CMS Clinical Lab Fee Schedule / MoIDX coverage articles are not in a queryable federal registry via the available connectors; commercial-payer contract counts are private.

Finding -- UNVERIFIABLE: Per diagnostics calibration, Medicare/MoIDX coverage and private payer contract counts are mostly NOT in a queryable federal registry -- UNVERIFIABLE is the correct, honest score. The claim is specific (CPT 0211U, MoIDX) and consistent with MI Cancer Seek's PMA approval (CAI-07 PASS), which supports plausibility but is not the same as independent corroboration.

Evidence: No available M-source covers CMS/MoIDX coverage determinations or the CPT 0211U gapfill/ADLT rate; CPT 0211U is a real PLA code and MoIDX (Palmetto) administration of NGS-panel coverage is publicly documented, but the specific Caris coverage status and ~90 commercial contracts are not registry-verifiable here.

Appendix

Verification coverage and corpus. This review reads beyond the prospectus: the document corpus was refreshed to 2026-05-29 and includes the FY2025 Form 10-K (2026-03-03), three post-IPO Form 10-Qs (2025-08-12, 2025-11-05, 2026-05-08), eight Form 8-Ks, the 2026 proxy (DEF 14A, 2026-04-23), and the post-lock-up insider record. Fifteen knowledge-graph verification routines are applicable to a diagnostics IPO issuer of this profile. Nine were dispatched against specific claims (going-concern, auditor continuity, voting concentration, lock-up/overhang, related-party/pledge, JOBS-Act exemptions, underwriter profile, the ClinicalTrials.gov helper, and the patent search) and four were declined as not-applicable with reasons: no Up-C / tax-receivable-agreement structure (a Texas C-corp), no common-control combination, no pre-IPO debt-financed dividend recap, and federal-services revenue-concentration (the concentration axis here is payer/Medicare, not a federal contract). Two further routines -- an offshore ramp-and-dump archetype and Pentagon program-funding -- were marked applicable only by a keyword backstop firing on incidental filing mentions; neither is relevant to a founder-controlled Texas C-corp with no offshore domicile and no Department-of-Defense program revenue, and both were correctly excluded.

Method note. Claims (R) are taken from the issuer's priced prospectus; each is tested by an independent method f against an authority M. For solvency and time-sensitive claims, M is the post-IPO filing record (the FY2025 10-K, the Q1-2026 10-Q, the 2026 proxy, and EDGAR insider filings) rather than the prospectus's own forward-looking language -- this is what lets the review report that the disclosed going-concern has since closed rather than re-flagging a stale point-in-time risk. A finding of 'unverifiable' means no independent registry covers the claim -- it is neither corroboration nor contradiction, and is reported as such rather than converted into a severity score.